LAW & MOTION CALENDAR
TENTATIVE RULINGS

December 12, 2024

Judge Melissa R. McCormick
Dept. CX104

Department CX104 hears law and motion on Thursdays at 2:00 p.m.

Court reporters: Official court reporters typically are not provided in this department for any proceedings. If the parties desire the services of a court reporter, the parties should follow the procedures set forth on the court's website at www.occourts.org.

Tentative rulings: The court endeavors to post tentative rulings on the court's website by 9:00 a.m. the day of the hearing. Tentative rulings may not be posted in every case. Please do not call the department for tentative rulings if tentative rulings have not been posted.

Submitting on tentative rulings: If all parties intend to submit on the tentative ruling and do not desire oral argument, please advise the courtroom clerk or courtroom attendant by calling (657) 622-5304. Please do not call the department unless all parties submit on the tentative ruling. If all parties submit on the tentative ruling and so advise the court, the tentative ruling will become the court's final ruling and the prevailing party shall give notice of the ruling.

Appearances and public access: Appearances, whether in person or remote, must comply with Civil Procedure Code section 367.75, California Rule of Court 3.672, Orange County Superior Court Local Rule 375, and Orange County Superior Court Appearance Procedure and Information—Civil Unlimited and Complex (pub. 9/9/22).

Unless the court orders otherwise, remote appearances will be conducted via Zoom. All counsel and self-represented parties appearing via Zoom must check in through the court's civil remote appearance website before the hearing begins. Check-in instructions are available on the court's website.

The public may attend hearings by coming to court or via remote access as described above.

Photographing, filming, recording and/or broadcasting court proceedings are prohibited unless authorized pursuant to California Rule of Court 1.150 or Orange County Superior Court Local Rule 180.

Non-appearances: If nobody appears for the hearing and the court has not been notified that all parties submit on the tentative ruling, the court shall determine whether the matter is taken off calendar or the tentative ruling becomes the final ruling. The court also might make a different order. *See Lewis v. Fletcher Jones Motor Cars, Inc.* (2012) 205 Cal.App.4th 436, 442 n.1.

NO.	CASE NAME	MATTER
1 10:00 am	Stickney, et al. v. State Farm General Insurance Company 2021-01231896	<u>Defendant State Farm Insurance Company's Motion for Judgment Notwithstanding the Verdict</u> <u>Defendant State Farm Insurance Company's Motion for Order Vacating Judgment and Entering New and Different Judgment</u> Defendant State Farm Insurance Company moves for judgment notwithstanding the verdict and for an order vacating the judgment and entering a new and different judgment following the jury's September 25, 2024 verdict (ROA 494) in favor of

		plaintiffs James Stickney and April Stickney. The jury found in plaintiffs' favor on their breach of contract claim and awarded $44,292.00, and found in plaintiffs' favor on their bad faith claim (breach of the implied covenant of good faith and fair dealing) and awarded no damages. The court entered judgment on the jury's verdict on October 7, 2024 (ROA 510). For the following reasons, State Farm's motions are denied. *Legal standards* On a motion for judgment notwithstanding the verdict (JNOV), a court may render a judgment that is opposite or contrary to the verdict reached by the jury. Cal. Civ. Proc. Code § 629. The purpose of a motion for JNOV is not to afford a review of the jury's deliberations but to prevent a miscarriage of justice in a case in which the verdict rendered is without foundation. *Oakland Raiders v. Oakland-Alameda County Coliseum, Inc.* (2006) 144 Cal.App.4th 1175, 1194. A court must grant a motion for JNOV when the facts show that either of the following motions should have been granted if made: (i) a defendant's motion for nonsuit under section 581c after the plaintiff's opening statement or at the close of the plaintiff's evidence; or (ii) a motion for a directed verdict under section 630 after all parties have completed their presentation of evidence. *See* Cal. Civ. Proc. Code § 629; *Gonzales v. City of Atwater* (2016) 6 Cal.App.5th 929, 946; *Pacific Corp. Group Holdings, LLC v. Keck* (2014) 232 Cal.App.4th 294, 309. A motion for a directed verdict is in the nature of a demurrer to the evidence and is governed by the same rules, and concedes as true the evidence on the adverse party's behalf, with all fair and reasonable inferences to be deduced from that evidence. *Id.* In ruling on a motion for JNOV, the court may not weigh the evidence or determine the credibility of the witnesses, but must accept the evidence tending to support the verdict as true unless it is inherently incredible on its face. *Tun v. Wells Fargo Dealer Servs., Inc.* (2016) 5 Cal.App.5th 309, 333; *Linear Tech. Corp. v. Tokyo Electron Ltd.* (2011) 200 Cal.App.4th 1527, 1532. A court must resolve conflicts in the evidence against the moving party and in the opposing party's favor and must draw all reasonable inferences from the evidence against the moving party and in the opposing party's favor. *See McCoy v. Gustafson* (2009) 180 Cal.App.4th 56, 84; *Kephart v. Genuity, Inc.* (2006) 136 Cal.App.4th 280, 289. A court may grant a motion for JNOV only if there is no substantial evidence to support the verdict. *Gonzales*, 6 Cal.App.5th at 946. A judgment or decree based on a judge's decision or a jury's special verdict may be set aside and vacated, and another and different judgment entered, on an aggrieved party's motion. The motion must be based on one of the following grounds materially affecting the substantial rights of the party and entitling the party to a different judgment: (i) incorrect or erroneous legal basis for the decision, not consistent with or not

		supported by the facts; and in such case when the judgment is set aside, the statement of decision shall be amended and corrected; or (ii) a judgment or decree not consistent with or not supported by the special verdict. Cal. Civ. Proc. Code § 663. In ruling on a motion to vacate, the court may not reweigh the evidence. "A motion to vacate under section 663 is a remedy to be used when a trial court draws incorrect conclusions of law or renders an erroneous judgment on the basis of uncontroverted evidence." *Simac Design, Inc. v. Alciati* (1979) 92 Cal.App.3d 146, 153. "In ruling on a motion to vacate the judgment[,] the court cannot '"in any way change any finding of fact"'"; a court may only change conclusions of law. *Glen Hill Farm, LLC v. California Horse Racing Bd.* (2010) 189 Cal.App.4th 1296, 1302. *Breach of contract cause of action* State Farm argues in its JNOV motion that the evidence at trial did not support the jury's breach of contract verdict. State Farm argues, as it did at trial, that the cause of the leak to the pipe was excluded and the cause of the water damage was excluded. Plaintiffs argue, as they did at trial, that there was a burst in the pipe that caused a sudden release of water into their home over a short period of time. Both sides had an opportunity to present their theories and evidence to the jury over the course of the multi-day trial. As demonstrated by the trial evidence cited in the moving and opposition papers, the parties presented conflicting evidence at trial regarding whether the loss, i.e., the resulting water damage to plaintiffs' property, was covered by the State Farm policy. (Before the case was submitted to the jury, the parties stipulated the only coverage issue for the jury to decide was whether the resulting water loss was covered. Opp. (ROA 562) at 3 n.10.) Plaintiffs presented evidence they did not see any water intrusion on December 13, 2020, the day before they testified they first observed water in their home. Opp. (ROA 563) Ex. C at 43:9-44:1. James Stickney testified there was "a large volume of water all throughout the hallway, kitchen, the kitchen area, hallway and living room," and that "when [he] walked on [the floor], . . . the water would just come gushing out of the sides of floor or the seams of the flooring." *Id.* at 52:13-20, 39:23-26. April Stickney testified "[t]he [water] puddles were sitting on the flooring," and she "saw water on top of [her] flooring." *Id.* Ex. E at 244:13, 245:16. There was also evidence introduced that the plumber who inspected the property found "[a] hot copper line burst leak under slab from water heater manifold to guest bathroom sink manifold approximately 15 ft from fixture to fixture causing water damages." Trial Ex. 201. In addition, plaintiffs' construction expert, Morgan Livingston, opined that based on his review of the file materials, the cause of the loss was a sudden and accidental burst of the hot water supply line. Opp.

(ROA 563) Ex. F at 59:15-22. Livingston also opined that the copper supply lines servicing plaintiffs' home "were installed within the structural assembly of the foundation, and not below the ground or the structural assembly, or outside of the structural assembly . . . ." *Id.* at 46:13-18; *see also id.* at 47:26-48:16, 49:13-50:24, 55:12-15.

In sum, in light of the evidence introduced at trial, including but not limited to the examples cited above, the court cannot conclude that there was no substantial evidence to support the jury's breach of contract verdict. State Farm's JNOV motion as to the breach of contract cause of action is denied.

Breach of implied covenant (bad faith) cause of action

On the bad faith cause of action, the jury found: (i) State Farm failed to pay policy benefits; (ii) State Farm's failure to pay policy benefits was unreasonable or without proper cause; and (iii) State Farm's failure to pay policy benefits was a substantial factor in causing harm to James Stickney or April Stickney. ROA 494. The jury awarded plaintiffs no damages on the bad faith claim. *Id.*

State Farm argues in its JNOV motion that the evidence at trial did not support the jury's bad faith verdict. Plaintiffs presented evidence State Farm's adjuster was "dismissive" and uninterested in assisting plaintiffs in understanding his reasons for the claim denial; plaintiffs' State Farm agent thought the adjuster's failure to call plaintiffs was "outrageous;" the adjuster did not contact the plumber who worked on the leak; and State Farm denied plaintiff's claimed despite having no information about how long the pipe had been leaking before the leak was discovered. Opp. (ROA 563) Ex. B at 86:11-15, 123:9-12; Ex. D. at 192:12-193:2; Ex. E at 216:11-217: 13, 218:8-21. Plaintiffs' expert Sandra Moriarty testified that State Farm did not reconcile conflicting information in the claim file about the leak, and she opined based on her review of the claim file that State Farm did not investigate the area below plaintiffs' slab. *Id.* Ex. E at 104:14-105:1, 116:18-21.

In sum, in light of the evidence introduced at trial, including but not limited to the examples cited above, the court cannot conclude that there was no substantial evidence to support the jury's bad faith verdict. State Farm's JNOV motion based on an alleged lack of substantial evidence as to the bad faith cause of action is denied.

State Farm also argues in its JNOV motion and its motion to vacate the judgment that the jury's bad faith verdict is legally insufficient because the jury did not award monetary damages.

In *Brandt v. Superior Court* (1985) 37 Cal.3d 813, the court held that when an insurer tortiously withholds benefits, attorneys' fees reasonably incurred to compel payment of the policy benefits are recoverable as an element of the damages resulting from the tortious conduct. "'[I]f an insurer, in

		discharging its contractual responsibilities, "fails to deal fairly and in good faith with its insured by refusing, without proper cause, to compensate its insured for a loss covered by the policy, such conduct may give rise to a cause of action in tort for breach of an implied covenant of good faith and fair dealing." [Citation.] When such a breach occurs, the insurer is "liable for any damages which are the proximate result of that breach."'" *Id.* at 817. "When an insurer's tortious conduct reasonably compels the insured to retain an attorney to obtain the benefits due under a policy, it follows that the insurer should be liable in a tort action for that expense. The attorney's fees are an economic loss—damages—proximately caused by the tort. . . . What we consider here is attorney's fees that are recoverable as damages resulting from a tort in the same way that medical fees would be part of the damages in a personal injury action." *Id.* (citations omitted). Here, the jury found that State Farm's conduct in failing to pay policy benefits to plaintiffs was unreasonable or without proper cause, and that the failure to pay policy benefits harmed plaintiffs. Under these circumstances, plaintiffs are permitted to recover for all detriment proximately resulting from State Farm's bad faith, which detriment includes those attorneys' fees that were incurred to obtain the policy benefits and that would not have been incurred but for State Farm's tortious conduct. "Since the attorney's fees are recoverable as damages, the determination of the recoverable fees must be made by the trier of fact unless the parties stipulate otherwise. [Citations.] A stipulation for a postjudgment allocation and award by the trial court would normally be preferable since the determination then would be made after completion of the legal services [citations], and proof that otherwise would have been presented to the jury could be simplified because of the court's expertise in evaluating legal services." *Brandt*, 37 Cal.3d at 819-20 (citations omitted). In this case, the parties stipulated pretrial that *Brandt* fees would be addressed by posttrial motion. 9/4/24 Order (ROA 449). State Farm argues that because the jury found plaintiffs did not suffer any economic loss from State Farm's bad faith conduct, plaintiffs did not prove bad faith. JNOV Reply (ROA 593) at 7:14-16 ("State Farm's position is that the absence of an economic loss is fatal to Plaintiffs' bad faith cause of action."). State Farm ignores that, as held in *Brandt*, where an insurer's tortious conduct reasonably compels an insured to retain an attorney to obtain policy benefits, those "attorney's fees are an economic loss—damages—proximately caused by the tort." *Brandt*, 37 Cal. 3d at 817. State Farm cites no cases holding that to obtain bad faith damages in the form of attorneys' fees a plaintiff must also be awarded some other type of economic damages.

		The Kishida declaration State Farm submitted a declaration from juror Cassandra Kishida in support of both of its motions. Plaintiffs object the Kishida declaration is inadmissible. Kishida states: "4. During deliberations, the jurors were of the opinion that the damages Plaintiffs requested were too high and that there was insufficient proof to award damages for any sort of emotional distress. Further, the jurors did not believe that Defendant State Farm's withholding of any insurance benefits warranted awarding Plaintiffs damages beyond the $44,296.00 awarded for Breach of Contract. "5. Although Presiding Juror Cody Menerhoff mentioned that he felt bad for Plaintiffs and wanted to award bad faith damages, a portion of which he wanted to cover attorneys' fees, the other jurors did not think Plaintiffs should be awarded damages for bad faith. "6. Most of our discussion during deliberation was regarding the cost of repair to Plaintiffs property." Kishida Decl. (ROA 573) ¶¶¶ 4-6. State Farm argues Kishida's declaration demonstrates that the jury did not want to award plaintiffs any monetary damages for bad faith, including attorneys' fees. California Evidence Code section 1150(a) states: "Upon an inquiry as to the validity of a verdict, any otherwise admissible evidence may be received as to statements made, or conduct, conditions, or events occurring, either within or without the jury room, of such a character as is likely to have influenced the verdict improperly. No evidence is admissible to show the effect of such statement, conduct, condition, or event upon a juror either in influencing him to assent to or dissent from the verdict or concerning the mental processes by which it was determined." Cal. Evid. Code § 1150(a). Juror declarations stating reasons given by a juror for his or her vote, what the declarant or other jurors "felt," or how the jurors arrived at a damages award are inadmissible. *People v. Lindberg* (2008) 45 Cal.4th 1, 53; *People v. Duran* (1996) 50 Cal.App.4th 103, 112-13; *Maxwell v. Powers* (1994) 22 Cal.App.4th 1596, 1604-05. The Kishida declaration does all of these things. The Kishida declaration is inadmissible. State Farm cites two cases as purported support for consideration of the Kishida declaration. Neither case supports a finding that the Kishida declaration is admissible. In *Krouse v. Graham* (1977) 19 Cal.3d 59, the court found the trial court should have considered four juror declarations bearing on whether the jury improperly agreed to award attorneys' fees as part of a wrongful death and personal injury verdict, and by so doing committed misconduct. *Id.* at 81-82. There are no

		allegations of juror misconduct here. State Farm's other case, *Drust v. Drust* (1980) 113 Cal.App.3d 1, has been criticized, and the court does not find it persuasive. *Ferreira v. Quik Stop Markets, Inc.* (1983) 141 Cal.App.3d 1023, 1034-35 ("*Drust* appears to be an anomaly and is inconsistent with the clear language of Evidence Code section 1150, subdivision (a). We decline to follow *Drust* . . . *Drust* takes *Krouse* a step farther than permissible, and was wrongly decided."). Plaintiffs to give notice.
2	Garcia-Avila, et al. v. Orange County Erectors, Inc. 2022-01284202	<u>Plaintiff's Motion for Preliminary Approval of Class Action and PAGA Settlement</u> The court has reviewed and considered the papers, including the supplemental papers, filed in support of plaintiff's motion for preliminary approval of a $750,000 class action and PAGA settlement. Subject to plaintiff's submission of the revised documents identified below, the court grants the motion as follows: $5,000.00 for each plaintiff's enhancement payment (i.e., $10,000.00 total) (not to exceed); $250,000.00 for attorneys' fees (not to exceed); $30,000.00 for litigation costs (not to exceed); $8,000.00 for settlement administration costs (not to exceed); and $40,000.00 total PAGA penalties ($30,00.00 to LWDA). The court has the following comments: 1. The notice and paragraph 10 of the proposed order (ROA 92) should include the amounts set forth above. 2. The various now-superseded copies of the notice and forms should not be attached to the proposed order as exhibits. The only notice and forms attached to the proposed order should be the operative notice and forms (in English and Spanish). Plaintiff is ordered to file and serve by <u>December 19, 2024</u> a revised proposed order with all exhibits attached (including a revised notice as discussed above). The final approval hearing is scheduled for <u>May 1, 2025 at 2:00 p.m.</u> in Department CX104. The motion for final approval shall be filed at least 16 court days before the hearing. *See* Department CX104 Guidelines for Approval of Class Action Settlements and PAGA Settlements (www.occourts.org). Plaintiff is ordered to give notice, including to the LWDA, and to file a proof of service.

3	Lopez v. Sunny Delight Beverages Co. 2022-01280502	<u>Plaintiff's Motion for Preliminary Approval of Class Action and PAGA Settlement</u> The court has reviewed and considered the papers, including the supplemental papers, filed in support of plaintiff's motion for preliminary approval of a $850,000 class action and PAGA settlement. Subject to plaintiff's submission of the revised documents identified below, the court grants the motion as follows: $7,500.00 for plaintiff's enhancement payment (not to exceed); $283,333.33.00 for attorneys' fees (not to exceed); $28,000.00 for litigation costs (not to exceed); $8,500.00 for settlement administration costs (not to exceed); and $40,000.00 total PAGA penalties ($30,00.00 to LWDA). The court has the following questions and comments: 1. What is the significance of the addendum to the settlement agreement now that the second addendum has been signed by the parties and counsel? Are the addendum and the second addendum identical? If so, why is the addendum needed? 2. The references to secondary locations of the documents referred to in the first paragraph of the proposed order should be removed. The citations to those documents should be only to the exhibits attached to the proposed order, not to other copies of the same documents located elsewhere in the court file. 3. The various now-superseded copies of the notice should not be attached to the proposed order as exhibits. The only notice attached to the proposed order should be the operative notice (in English and Spanish). Plaintiff is ordered to file and serve by <u>December 19, 2024</u> a revised proposed order with all exhibits attached. The final approval hearing is scheduled for <u>April 24, 2025 at 2:00 p.m.</u> in Department CX104. The motion for final approval shall be filed at least 16 court days before the hearing. *See* Department CX104 Guidelines for Approval of Class Action Settlements and PAGA Settlements (www.occourts.org). Plaintiff is ordered to give notice, including to the LWDA, and to file a proof of service.
4	O'Neill v. Robinson Pharma Inc. 2020-01176039	<u>Plaintiff's Motion for Preliminary Approval of Class Action and PAGA Settlement</u> The court has reviewed and considered the papers, including the supplemental papers, filed in support of plaintiff's motion for

		preliminary approval of a $3,495,000 class action and PAGA settlement. Subject to the court's ruling on any objections that may be presented at the hearing, the court is inclined to grant the motion as follows: $10,000.00 for plaintiff's enhancement payment (not to exceed); $1,165,000.00 for attorneys' fees (not to exceed 1/3 of gross settlement amount); $30,000.00 for litigation costs (not to exceed); $20,000.00 for settlement administration costs (not to exceed); and $800,000.00 total PAGA penalties ($600,000.00 to LWDA). The final approval hearing is scheduled for <u>May 8, 2025 at 2:00 p.m.</u> in Department CX104. The motion for final approval shall be filed at least 16 court days before the hearing. *See* Department CX104 Guidelines for Approval of Class Action Settlements and PAGA Settlements (www.occourts.org). Plaintiff is ordered to give notice, including to the LWDA, and to file a proof of service.
5	Padilla v. Robinson Pharma, Inc. 2021-01183520	<u>Status Conference in *Padilla v. Robinson Pharma, Inc.*, Case No. 2021-01183520</u> The court has reviewed the parties' joint status conference statement filed December 5, 2024 (ROA 161). Plaintiff states in the status conference statement that she objects to the settlement in *O'Neill v. Robinson Pharma, Inc.*, Case No. 2020-01176039. Plaintiff asserts the *O'Neill* settlement is not fair, reasonable or adequate, and that neither she nor her counsel received notice of the settlement or any information about the terms and conditions of the settlement. As to the former, the court will hear from plaintiff regarding her objection at the December 12, 2024 hearing. As to the latter, plaintiff's counsel has received at least three court orders regarding the *O'Neill* preliminary approval motion. 2/21/24 Order (ROA 150); 7/22/24 Order (ROA 153); 8/19/24 Order (ROA 156). Plaintiff's counsel's claim that counsel was unaware of the settlement of the *O'Neill* action and its terms is not persuasive. A status conference is scheduled for <u>May 8, 2025 at 2:00 p.m.</u> in Department CX104. Clerk to give notice.
6	Nguyen v. Robinson Pharma, Inc. 2021-01224817	<u>Status Conference in *Nguyen v. Robinson Pharma, Inc.*, Case No. 2021-01224817</u> The court has reviewed the parties' joint status conference statement filed December 5, 2024 (ROA 77), and based thereon

		continues the December 12, 2024 status conference to May 8, 2025 at 2:00 p.m. in Department CX104. The Order to Show Cause re Dismissal scheduled for December 12, 2024 at 2:00 p.m. is vacated. Clerk to give notice.
7	Olivares v. Robinson Pharma, Inc. 2022-01256198-	Status Conferences in *Olivares, et al. v. Robinson Pharma, Inc.*, Case No. 2022-01256198 and *Olivares, et al. v. Robinson Pharma, Inc.*, Case No. 2022-01267160 The court has reviewed the parties' joint status conference statement filed December 5, 2024 (ROA 91) in Case No. 2022-01256198, and based thereon continues the December 12, 2024 status conference to May 8, 2025 at 2:00 p.m. in Department CX104. Plaintiff Olivares states he intends to move to intervene in the *O'Neill* action. He has not done so. In the alternative, plaintiff Olivares asks the court in the status conference statement to consolidate his action with *O'Neill*. In the absence of a properly-noticed motion to consolidate, the court declines plaintiff Olivares's request for a consolidation order. Clerk to give notice.
8	Olivares v. Robinson Pharma, Inc. 2022-01267160	Status Conferences in *Olivares, et al. v. Robinson Pharma, Inc.*, Case No. 2022-01256198 and *Olivares, et al. v. Robinson Pharma, Inc.*, Case No. 2022-01267160 The court has reviewed the parties' joint status conference statement filed December 5, 2024 (ROA 91) in Case No. 2022-01256198, and based thereon continues the December 12, 2024 status conference to May 8, 2025 at 2:00 p.m. in Department CX104. Plaintiff Olivares states he intends to move to intervene in the *O'Neill* action. He has not done so. In the alternative, plaintiff Olivares asks the court in the status conference statement to consolidate his action with *O'Neill*. In the absence of a properly-noticed motion to consolidate, the court declines plaintiff Olivares's request for a consolidation order. Clerk to give notice.
9	Huynh v. Robinson Pharma, Inc. 2024-01412009	Status Conference in *Huynh v. Robinson Pharma, Inc.*, Case No. 2024-01412009 The court has reviewed the parties' joint status conference statement filed December 6, 2024 (ROA 28), and based thereon continues the December 12, 2024 status conference to January 30, 2025 at 2:00 p.m. in Department CX104. Defendant's request to stay this action pending completion of the settlement in *O'Neill v. Robinson Pharma, Inc.*, Case No. 2020-01176039, is denied without prejudice.

		The parties are ordered to file a joint status conference statement at least 5 court days before the hearing. Clerk to give notice.
10	Stroj v. American Patriot Brands, Inc., et al. 2023-01326840	<u>Defendant Martin Brill's Motion to Stay Civil Action Pending Resolution of Pending Criminal Action</u> <u>Defendants American Patriot Brands, Inc., Robert Mayer, Robert Y. Lee, Brian L. Pallas, Jim Anderson, Urban Pharms, LLC, DJ & S Property #1, LLC, TSL Distribution, LLC and Legion Accounting Services, Inc.'s Motion to Stay Civil Action Pending Resolution of Pending Criminal Action</u> Defendants Martin Brill, American Patriot Brands, Inc., Robert Mayer, Robert Y. Lee, Brian L. Pallas, Jim Anderson, Urban Pharms, LLC, DJ & S Property #1, LLC, TSL Distribution, LLC and Legion Accounting Services, Inc. (together, the "Moving Defendants," and, without Brill, the "APB Defendants") move to stay this case pending resolution of a pending criminal case against Brill and Lee. Defendant Levene, Neale, Bender, Yoo & Golubchik L.L.P. ("LNBYG") opposes the motions. Plaintiff Robert J. Stroj does not oppose a stay of the entire action, but opposes a partial stay of the action (i.e., Stroj opposes a stay whereby the action would be stayed against the Moving Defendants but not against LNBYG). The court has read and considered all of the papers filed in support of and in opposition to the motion. For the following reasons, the motions to stay the entire civil action are granted. On July 30, 2024, the Orange County District Attorney's Office filed a felony complaint against Brill and Lee, among others, charging them with eight felony counts of insurance fraud and one count of conspiracy to commit referral of clients for compensation arising from Brill and Lee's alleged involvement with Southern California Injured Workers (SCIW). Chambers Decl. (ROA 621) Ex. A. Stroj's first amended complaint in this action alleges improper conduct by Brill and LNBYG related to SCIW. First Amended Complaint (ROA 7) ¶ 133. Stroj incorporates the SCIW allegations into his civil conspiracy cause of action against all defendants, including Lee. *Id.* ¶ 155. State and federal cases acknowledge the "plight of a defendant in a criminal prosecution who must also defend against civil proceedings involving the same facts." *People v. Coleman* (1975) 13 Cal.3d 867, 884. The "alleviation of tension between constitutional rights" is within the trial court's discretion "in seeking to assure the sound administration of justice." *Id.* at 885. "'There may be cases where the requirement that a criminal defendant participate in a civil action, at peril of being denied some portion of his worldly goods, violates concepts of elementary fairness in view of the defendant's position in an inter-related criminal prosecution. On the other hand, the fact that a man is indicted cannot give him a blank check to block all civil litigation on the same or related underlying subject matter. Justice is meted out in both civil and criminal litigation. The

		overall interest of the courts that justice be done may very well require that the compensation and remedy due a civil plaintiff should not be delayed (and possibly denied). The court, in its sound discretion, must assess and balance the nature and substantiality of the injustices claimed on either side.'" *Id.* While the United Stated Constitution "does not ordinarily require a stay of civil proceedings pending the outcome of criminal proceedings," a court may in its discretion stay parallel civil proceedings """when the interests of justice seem to require such action.""" *Keating v. Office of Thrift Supervision* (9th Cir. 1995) 45 F.3d 322, 324. "The decision whether to stay civil proceedings in the face of a parallel criminal proceeding should be made 'in light of the particular circumstances and competing interests involved in the case.' [Citation.] This means the decisionmaker should consider 'the extent to which the defendant's fifth amendment rights are implicated.'" *Id.* In addition, a court should generally consider the following five factors when deciding whether to stay civil proceedings: (1) the interest of the plaintiffs in proceeding expeditiously with the civil litigation or any particular aspect of it, and the potential prejudice to the plaintiffs of a delay; (2) the burden which any particular aspect of the proceedings may impose on the defendants; (3) the convenience of the court in the management of its cases, and the efficient use of judicial resources; (4) the interests of persons not parties to the civil litigation; and (5) the interest of the public in the pending civil and criminal litigation. *Keating*, 45 F.3d at 324-25; *see also Pacers, Inc. v. Superior Court* (1984) 162 Cal.App.3d 686, 690. The court addresses each of these factors in turn below. *The extent to which Moving Defendants' fifth amendment rights are implicated* The court finds that Brill's and Lee's fifth amendment rights are implicated by proceedings in the civil case. Both the civil case and the criminal case involve allegations of improper conduct by Brill and Lee related to SCIW. Neither Stroj nor LNBYG disputes that Stroj served requests for admission on Brill in the civil case in response to which Brill invoked his fifth amendment rights. Brill Brief (ROA 619) at 2 n.1. Indeed, Stroj seeks to prove some of the same facts prosecutors and/or criminal investigators would seek to prove to impose criminal liability on Brill and Lee. Brill's and Lee's fifth amendment rights are directly implicated by discovery in the civil case. The other Moving Defendants, none of which is a defendant in the criminal action, have not demonstrated they have fifth amendment rights or, if they do, that their fifth amendment rights are implicated by parallel civil and criminal actions. As discussed below, however, the court finds a stay of the action as to all defendants is appropriate for other reasons. *Stroj's interest in proceeding expeditiously and potential prejudice to Stroj from delay*

		As discussed above, Stroj does not oppose a stay of the entire action and does not argue a stay of the entire action will prejudice him. Stroj argues a partial stay would prejudice him because his claims against LNBYG rely on Brill's and the other Moving Defendants' alleged conduct, and because a partial stay could potentially implicate the five-year rule of Civil Procedure Code section 583.340. Stroj's contention that a partial stay would potentially prejudice him is persuasive. As Stroj argues, Stroj requires discovery from Brill and the other Moving Defendants to prove his claims against LNBYG. Requiring Stroj to proceed against LNBYG while the case is stayed against the other defendants could prejudice Stroj by potentially depriving him of evidence relevant to his claims against LNBYG. LNBYG argues a stay of the entire action would prejudice it because it "wishes to have its day in court as soon as possible" (LNBYG Opp. (ROA 648) at 6:12-13), a stay risks lost evidence and diminished memories, and LNBYG desires to have its pending summary judgment motion heard as soon as possible. While LNBYG's desire to proceed expeditiously is understandable, it does not outweigh the other factors favoring a stay discussed herein. Nor does LNBYG's pending summary judgment motion, which it filed almost two months after the APB Defendants filed their stay motion and more than a month after Brill filed his stay motion, warrant a partial (as opposed to an entire) stay of the action. *Burden civil proceedings may impose on Moving Defendants* Brill argues that participating in discovery in the civil action will prejudice his defense of the criminal action because the District Attorney's Office may obtain incriminating evidence about Brill from the civil action. Brill presents evidence that law enforcement authorities have been monitoring the civil action and that Stroj has been in contact with the District Attorney's Office. Stroj confirms these facts in his opposition. Stroj Opp. (ROA 650) at 6:9-25. The APB Defendants argue that defending the civil action would "potentially expos[e] Defendants to (further) criminal culpability," particularly here where Stroj "has taken an active role in building and participating in the Criminal Complaint." APB Brief (ROA 584) at 8:10-12. As previously discussed, Stroj seeks to prove some of the same facts prosecutors and/or criminal investigators seek to prove to impose criminal liability on Brill and Lee. The court finds that proceeding simultaneously with the civil and criminal cases would impose some burden on Brill and Lee. Brill's argument that invoking his fifth amendment right against self-incrimination in the civil action will prejudice his defense of the civil action is not persuasive. "'[A] defendant has no absolute right not to be forced to choose between testifying in a civil matter and asserting his Fifth Amendment privilege.'" *Avant! Corp. v. Superior Court* (2000) 79 Cal.App.4th 876, 885; *see also Oiye v. Fox* (2012) 211 Cal.App.4th 1036, 1054 ("'Whereas the Fifth Amendment privilege may be invoked by a

		civil litigant [citation], it does not provide for protection against civil penalties. "[W]hile the privilege of a criminal defendant is absolute, in a civil case a witness or party may be required either to waive the privilege or accept the civil consequences of silence if he or she does exercise it."'") (citations omitted). *Case management and efficient use of judicial resources* "[C]onvenience of the courts is best served when motions to stay proceedings are discouraged." *Avant!*, 79 Cal.App.4th at 888. In this case, however, the plaintiff does not oppose a stay of the action. For case management purposes, and to utilize judicial resources most efficiently, any stay to be imposed should apply to all parties. In addition to the potential prejudice to Stroj addressed above, proceeding piecemeal risks, *inter alia*, duplication of effort and discovery, revisiting of issues and inconsistent rulings. *Interests of nonparties and public interest in pending civil and criminal litigation* No showing has been made that either of these factors materially bears on whether to stay the civil action. The court thus does not find that either of these factors compels a different outcome for these motions. This case is stayed pending resolution of *People v. Fish, et al.*, OCSC Case No. 24CF1948, or other order of the court. All pending dates, including motion hearing dates, the pretrial conference and the trial date are vacated, subject to being reset as necessary upon entry of an order lifting the stay. Defendant Martin Brill to give notice. <u>Status Conference</u> The court has reviewed the parties' joint status conference statement filed December 6, 2024 (ROA 666). In a concurrently-issued order, the court granted defendants Martin Brill, American Patriot Brands, Inc., Robert Mayer, Robert Y. Lee, Brian L. Pallas, Jim Anderson, Urban Pharms, LLC, DJ & S Property #1, LLC, TSL Distribution, LLC and Legion Accounting Services, Inc.'s motions to stay this action pending resolution of *People v. Fish, et al.*, OCSC Case No. 24CF1948, or other order of the court. A status conference is scheduled for <u>June 26, 2025 at 9:00 a.m.</u> in Department CX104. The parties are ordered to file a joint status conference statement at least 5 court days before the hearing. Clerk to give notice.
11	Clark, et al. v. Windsail Capital Group, LLC, et al. 2021-01191735	<u>Plaintiff Growthpoint Global, Inc.'s Motions to Compel (1) Further Responses to Special Interrogatories (Set Four) Nos. 75-80 from Windsail Credit Fund, L.P., Windsail Capital Fund L.P, Windsail Capital Fund, LLC and Windsail GP, LLC, (2)</u>

Further Response to Request for Production No. 91 from Crate Modular, Inc. and (3) Further Responses to Special Interrogatories (Set Two) Nos. 36-41 from Crate Modular, Inc. (together, the “Group 1 Motions”)

Plaintiff Growthpoint Global, Inc. moves to compel defendants Windsail Credit Fund, L.P., Windsail Capital Fund, L.P., Windsail Capital Group, LLC and Windsail GP, LLC (together, the “Windsail Entities”) to provide further responses to Special Interrogatories (Set Four) Nos. 75-80. Growthpoint also moves to compel defendant Crate Modular, Inc. to provide a further response to Request for Production No. 91 and further responses to Special Interrogatories (Set Two) Nos. 36-41. For the following reasons, the motions are granted in part and denied in part.

In the absence of a contrary court order, a civil litigant’s right to discovery is broad. *Williams v. Superior Court* (2017) 3 Cal.5th 531, 551. “‘For discovery purposes, information is relevant if it “might reasonably assist a party in evaluating the case, preparing for trial, or facilitating settlement . . . .” [Citation.] Admissibility is not the test and information unless privileged, is discoverable if it might reasonably lead to admissible evidence.’” *Garamendi v. Golden Eagle Ins. Co.* (2004) 116 Cal.App.4th 694, 712 n.8.

Growthpoint’s motion to compel the Windsail Entities to provide further responses to Special Interrogatory Nos. 75-80 is denied as moot, as the Windsail Entities (ROA 2375 at 9:18-10:7) and Growthpoint (ROA 2409 at 5:3-4) state that the Windsail Entities have agreed to provide the requested discovery.

Growthpoint’s motion to compel Crate to provide a further response to Request for Production No. 91 (Crate’s general ledger for 2018-2023) is denied. As stated in the court’s February 8, 2024 order (ROA 1857) addressing Growthpoint’s motion to compel, *inter alia*, production of Crate’s bank statements:

“Defendants have submitted evidence they have produced Crate’s balance sheet as of October 8, 2018, Crate’s annual financial statements for 2018 through 2022, Crate’s annual profit and loss, balance sheets and cash flow statements for 2022, Crate’s monthly and quarterly actuals for 2018 through 2022, Crate’s monthly profit and loss, balance sheets and cash flow statements for 2019 and 2020, and Crate’s monthly actuals and profit and loss for 2022. Crate has presented evidence it has produced its tax returns for 2018 through 2022, as well as other financial records containing budget information, weekly forecasts, weekly updates, weekly, weekly dashboards, pipeline projections, cash flows and case forecasts, financial models, and project profit and loss reports. Crate presented evidence it has produced completed project lists containing, among other information, the contract price.

		"Plaintiff does not dispute that Crate has produced these documents. Plaintiff contends all of these records are fraudulent, and are 'sanitized reports' prepared by defendants' accountants using 'accounting tricks.' Plaintiff provides no evidence substantiating these assertions. Without any supporting evidence, plaintiff has not shown good cause to require Crate to provide further responses to Request No. 3 and Special Interrogatory No. 23." 2/8/24 Order (ROA 1857) at 2-3. Here again, Growthpoint does not dispute that Crate has produced these documents. Growthpoint instead contends Crate's financial statements "appear flawed in many regards," and that Growthpoint requires Crate's general ledgers "to better understand the previous financial information produced by Crate and to get a more accurate depiction of Crate's financial condition." Reply (ROA 2409) at 7:16-19. Growthpoint's evidence in support of these contentions is a declaration from its counsel containing numerous statements about Crate's financial documents for which counsel provides no foundation (e.g., Vu Decl. (ROA 1978) ¶¶ 12, 13, 21) and an expert report. Counsel's foundationless statements do not show good cause to require Crate to provide a further response to Request for Production No. 91. As to the expert report, the three pages Growthpoint cites (Reply (ROA 2409) at 8:22) also do not show good cause to require Crate to provide a further response to Request for Production No. 91, as the expert states only that Crate's general ledgers "would assist" with reviewing Crate's balance sheets and income statements, both of which the expert has. A general statement that additional documents "would assist" in reviewing the extensive financial documents Crate already has produced is insufficient to order Crate to produce further financial documents. Growthpoint's motion to compel Crate to provide further responses to Special Interrogatories Nos. 36, 37 and 39 is granted. As to Special Interrogatories Nos. 36, 37 and 39, Crate shall provide a further verified response stating whether it still owns each asset identified in response to Special Interrogatory No. 34 and, if it does not, state how (or to whom, if applicable) it disposed of the asset and, if applicable, the amount of money Crate received for the sale or other disposition of the asset. Growthpoint has not shown good cause to compel Crate to perform a valuation analysis, and Growthpoint's motion to compel Crate to provide a further response to Special Interrogatory No. 38 is accordingly denied. Crate shall provide further verified responses to Special Interrogatories (Set Two) Nos. 36, 37 and 39 by January 3, 2025. Growthpoint's motion to compel Crate to provide further responses to Special Interrogatories Nos. 40 and 41 is denied. Crate contends its PMK witness Paul Neitzel testified at his deposition as to Crate's understanding of the terms "gross

		pipeline" and "prob. adj. pipeline." In the cited portions of Neitzel's deposition (Silva Decl. (ROA 2391) Ex. 2 (at 131:10-25, 189:8-190:3)), Neitzel testifies about Crate's definition of "pipeline," which is neither of the terms addressed in Special Interrogatories Nos. 40 and 41, and, regarding the term "pipeline" in a specific document, testified he did not know how "pipeline" was defined in that document. The motion to compel Crate to provide further responses to Special Interrogatories Nos. 40 and 41 is nevertheless denied because, to the extent Growthpoint seeks to compel Crate to explain the meaning of the terms "gross pipeline" and "prob. adj. pipeline" used in "board minutes, pipeline reports, semi-monthly updates, and/or weekly updates" (Growthpoint Separate Statement (ROA 1922) Nos. 40 & 41), the interrogatories are overbroad and vague as Growthpoint has not identified in its motion the documents (or even the number of documents) containing these terms. To the extent Growthpoint seeks to compel Crate to explain the meaning of the terms "gross pipeline" and "prob. adj. pipeline" used in the five documents identified in the Welch Declaration (ROA 1977 ¶ 17 & Exs. 9-13), those questions are more appropriately posed to the authors of the documents. Growthpoint has not shown good cause to compel Crate to provide further responses to Special Interrogatories Nos. 40 and 41. Growthpoint's requests for sanctions are denied. Plaintiff Growthpoint Global, Inc. to give notice. <u>Plaintiff Growthpoint Global, Inc.'s Motions to Compel (1) Responses to Requests for Production (Set Five) Nos. 70-77 from Windsail Capital Group, LLC, (2) Responses to Requests for Production (Set Five) Nos. 70-77 from Windsail GP, LLC, (3) Responses to Requests for Production (Set Five) Nos. 70-77 from Windsail Credit Fund, L.P., (4) Responses to Requests for Production (Set Five) Nos. 70-77 from Windsail Capital Fund, L.P., (5) Responses to Special Interrogatories (Set Three) Nos. 36-41, 43-60 and 63-73 from Windsail Capital Group, LLC, (6) Responses to Special Interrogatories (Set Three) Nos. 36-41, 43-60 and 63-73 from Windsail GP, LLC, (7) Responses to Special Interrogatories (Set Three) Nos. 36-41, 43-61 and 64-74 from Windsail Credit Fund, L.P., (8) Responses to Special Interrogatories (Set Three) Nos. 36-41, 43-61 and 64-74 from Windsail Capital Fund, L.P. and (9) Further Deposition of Michael Rand as Person Most Qualified for Windsail Entities (together, the "Group 2 Motions")</u> Tentative rulings will not be posted on the Group 2 Motions.